

TABLE 6
ASSOCIATIONS BETWEEN DIPLOMA AND TEST SCORES AND EARNINGS

	A. MEAN DIFFERENCES BY DIPLOMA STATUS				
	Last-Chance Sample (1)	Complete Grade 12, No College			
		All (2)	T1 (3)	T2 (4)	T3 (5)
Earnings years 7–11	1,814.7 (138.1)	2,867.8 (79.3)	1,780.3 (111.8)	1,752.0 (176.1)	2,385.3 (228.5)
Observations	128,460	992,031	210,793	193,970	194,896
Mean earnings without diploma	12,400	12,673	11,858	13,301	13,538
Difference (%)	14.6	22.6	15.0	13.2	17.6
PDV earnings	8,054.5 (632.3)	8,731.0 (341.9)	7,280.7 (501.9)	7,459.4 (779.8)	10,546.3 (951.4)
Observations	37,571	340,028	74,490	63,652	64,548
Mean earnings without diploma	70,280	69,992	66,466	74,216	73,860
Difference (%)	11.5	12.5	11.0	10.1	14.3
	B. CORRELATION BETWEEN TEST SCORE AND PDV EARNINGS IN LAST-CHANCE SAMPLE				
	(1)	(2)	(3)	(4)	
Last-chance score	870.6 (40.0)	983.2 (60.6)	968.8 (61.0)	962.7 (103.6)	
Last-chance score ²		11.3 (3.8)	14.3 (7.9)	14.1 (7.4)	
Last-chance score ³			.2 (.3)	.2 (1.0)	
Last-chance score ⁴				.0 (.0)	
Polynomial degree	1	2	3	4	
<i>p</i> -value slopes = 0	.00	.00	.00	.00	
<i>R</i> ²	.0126	.0129	.0129	.0129	
Adjusted <i>R</i> ²	.0126	.0128	.0128	.0128	

NOTE.—Panel A shows mean differences in earnings by high school diploma status. T1, T2, and T3 refer to bottom, second-bottom, and third-bottom tertiles of the ability distribution as measured by initial exam scores. No restrictions are placed on the last-chance sample (i.e., we do not restrict to those with no college). Panel B shows estimates of a regression of PDV earnings through year 11 ($r = .05$) on a polynomial in the last-chance exam score (each column represents a separate regression) for students in the last-chance sample. All models are estimated with no additional covariates beyond those listed in the table (high school diploma in panel A and the test score polynomial terms in panel B) and an intercept.